

doesn't alter the fact that rocks, sand, and gravel are as close to inherently worthless as you can get. That's the paradox: mixed together, the stuff probably sells for \$3 a ton. For the price of a glass of orange juice, you can purchase a half ton of aggregate, which, if you've got a truck, you can take home and dump on your lawn.

What makes a rock pit valuable is that nobody else can compete with it. The nearest rival owner from two towns over isn't going to haul his rocks into your territory because the trucking bills would eat up all his profit. No matter how good the rocks are in Chicago, no Chicago rock-pit owner can ever invade your territory in Brooklyn or Detroit. Due to the weight of rocks, aggregates are an exclusive franchise. You don't have to pay a dozen lawyers to protect it.

There's no way to overstate the value of exclusive franchises to a company or its shareholders. Inco is the world's great producer of nickel today, and it will be the world's great producer in fifty years. Once I was standing at the edge of the Bingham Pit copper mine in Utah, and looking down into that impressive cavern, it occurred to me that nobody in Japan or Korea can invent a Bingham pit.

Once you've got an exclusive franchise in anything, you can raise prices. In the case of rock pits you can raise prices to just below the point that the owner of the next rock pit might begin to think about competing with you. He's figuring his prices via the same method.

To top it off, you get big tax breaks from depreciating your earth movers and rock crushers, plus you get a mineral depletion allowance, the same as Exxon and Atlantic Richfield get for their own oil and gas deposits. I can't imagine anyone's going bankrupt over a rock pit. So if you can't run your own rock pit, the next best thing is buying shares in aggregate-producing companies such as Vulcan Materials, Calmat, Boston Sand & Gravel, Dravo, and Florida Rock. When larger companies such as Martin-Marietta, General Dynamics, or Ashland sell off various parts of their businesses, they always keep the rock pits.

I always look for niches. The perfect company would have to have one. Warren Buffett started out by acquiring a textile mill in New Bedford, Massachusetts, which he quickly realized was not a niche business. He did poorly in textiles but went on to make billions for his shareholders by investing in niches. He was one of the first to see the value in newspapers and TV stations that dominated major markets, beginning with the *Washington Post*. Thinking along the same lines, I bought as much stock as I could in Affiliated Publications, which owns the local *Boston Globe*. Since the *Globe* gets over 90 percent of the print ad revenues in Boston, how could the *Globe* lose?

The *Globe* has a niche, and the Times Mirror Company has several, including the *Los Angeles Times*, *Newsday*, the *Hartford Courant*, and the *Baltimore Sun*.